Outlook

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Sent	Fri, 21 Jun 2024 13:30:00 -0000

Rate sensitivity without pretending we have a full ALM model - 2024 control review

Hi team,

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2024 as the new evidence point rather than recycling the earlier conclusion. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Can you test these explanations rather than choosing one at the start?
- variable-rate borrowers show stress before fixed-rate borrowers
- fee-sensitive deposit activity changes after repricing
- repayment stress is driven more by cash flow than by nominal rate

The decision is where product repricing, customer communication or credit monitoring should be focused. Please give us a model-ready table, data dictionary and an honest baseline.

You should be able to build the evidence from monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Thanks